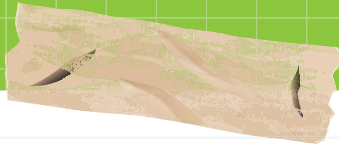


SUMMING UP...

We have discussed two methods so far of reaching the value of the company. Both methods have their own strengths and weaknesses.



- Having said that, valuing a startup is one of the most difficult things to do. If a company has no history, forecasting the future and reaching a valuation becomes very difficult.
- These two are among the top methods to value a startup.
- It is important to avoid a position where your company should be valued at 5 crores, but you have overvalued it significantly.
- In the long run, too high valuation is counter. Production for both investor as well as founder.

We will talk about more methods to value your company in the next section.

F

ks